Casa de Bolsa Interacciones

# PREVIEW

## Food

## BIMBO A MM

Price
(MXN, as of 19/10/2017)
MXN$44.59

FLOAT
33.26%

BETA (3yr, vs Mexbol)
0.908

MARKET CAP. (MXN MN)
210,844.5

DL VL TRADED (AV. MXN MN)
99.3

TARGET PRICE
P$44 / Var. TP -1.3%

HOLD

*TP Under Review

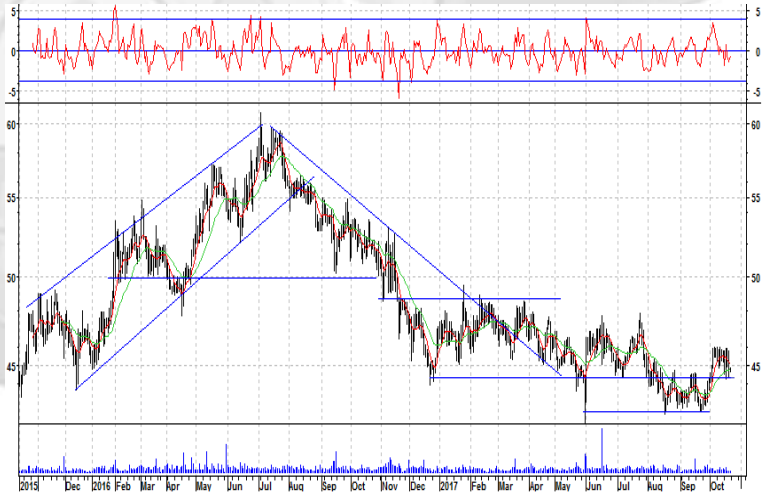
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# Q317 Estimates

**Slightly negative quarter** - We believe that Bimbo will present weak Q317 results, with a scarce revenue growth, and lower margins, which will generate a reduction in both EBITDA and net income. We do not expect any significant reaction on Bimbo's stock in the short term.

**Limited revenue growth** - We expect Bimbo's revenues to be up 1.5% YoY to MXN$65,738 million in Q317. In Mexico, we expect a strong 10% YoY increase, due to a combination of prices in line with inflation and higher volumes due to the launches that have been taking place during the year. The acquisitions of Ready Roti in India and Groupe Adghal will boost sales in Europe, Africa and Asia by 6.0% YoY. In Latin America, revenues will rise 4.5% YoY. However, North American sales will fall 4% YoY, due to the recovery of the Mexican peso during the quarter.



**Lower margins** - We forecast that Bimbo's EBITDA margin will contract 72 bps to 11.4% in Q317, as a result to a slight reduction in Mexico, and the fact that Europe, Africa and Asia will continue to operate at a loss. This will result in a 5% YoY decrease in Bimbo's EBITDA to MXN$7,519 million.

**Strong reduction in net income** - We estimate that the company will record a net profit of MXN$2,032 million in Q317, down 20% YoY. This will be due in large part to the weak operating performance, which will offset a higher tax rate.

| Multiples | 2014 | 2015 | 2016 | L12M |
|---|---|---|---|---|
| P/E | 54.4x | 41.8x | 37.5x | 41.9x |
| P/BV | 3.8x | 3.7x | 3.1x | 3.2x |
| EV/EBITDA | 13.8x | 12.1x | 10.3x | 9.8x |

| | Q317e | Q316 | Dif (%) |
|---|---|---|---|
| Sales | 65,738 | 64,785 | 1.5% |
| Operating Income | 4,924 | 5,738 | -14.2% |
| EBITDA | 7,519 | 7,874 | -4.5% |
| Net Income | 2,032 | 2,541 | -20.0% |

| | 3T17e | 3T16 | Dif (bp) |
|---|---|---|---|
| Operating Mgn. (%) | 7.5% | 8.9% | -137 |
| EBITDA Mgn. (%) | 11.4% | 12.2% | -72 |
| Profit Mgn. (%) | 3.1% | 3.9% | -83 |

*Data in million of pesos unless expressed otherwise, sum may vary due to adjustments.*
*Source: Interacciones and quarteryl company reports*

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| BIMBO A: Historic Target Price(s) & Recommendation(s) | | | |
|---|---|---|---|
| **Date of change** | 12-oct-15 | 18-sep-14 | 18-jul-14 |
| Target Price | **P$44.00** | **P$44.00** | **P$220.00** |
| Recommendation | 2 | 1 | 2 |

** Recommendations: 1=Buy, 2=Hold, 3=Sell*